

Weekly Update

25 May 2026

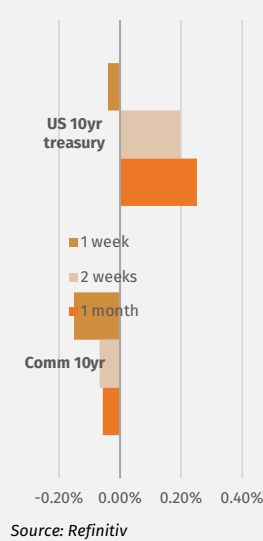
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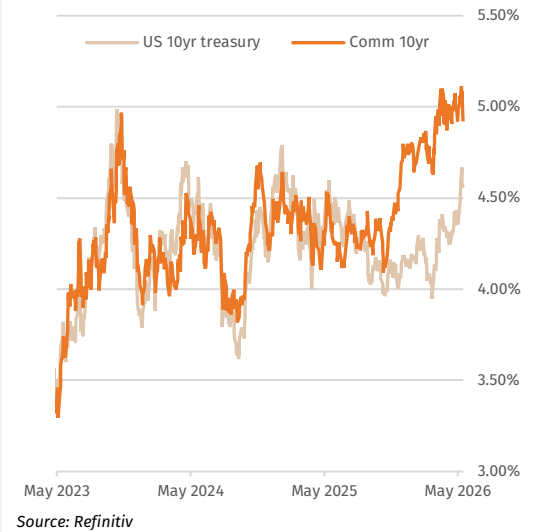
Interest Rates

- A pivotal week for the Treasury market, with the FOMC minutes confirming the hawkish drift visible in recent inflation data and yields completing the technical breakout from the multi-year coil. The 10-year traded above 4.60% mid-week before easing on Iran peace headlines into Friday's close. However markets are now focussing heavily on the rising rate and importantly rate of change. A sudden move close to 5% will cause panic. Bond trading closed early for Memorial Day with the 10 year 4.56% and the 2 year at 3.98%. The US market is closed on Monday.
- Volatile week driven by US-Iran tensions (escalation then de-escalation), global long-end selling on deficit/stagflation fears, and a weak Thursday jobs print — unemployment jumped to 4.5% from 4.3% with participation falling to 66.7%. Rates rallied 12–14bps on the day, markets fully priced a June RBA hold, and the year-end hike pricing is now at risk. The 10 year comm. Gov. bond closed at 4.92% and the 2 year at 4.60%. Both these rates are at the bottom of their respective 3 month trading ranges – and a week ago at their highs – expect volatility to continue.

Rate move %



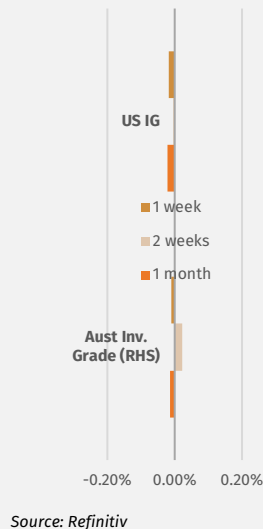
Interest rates



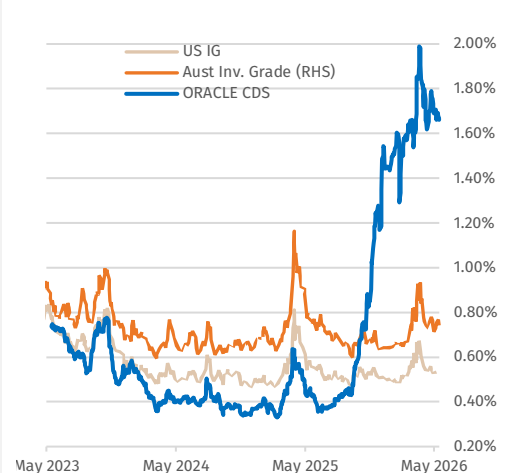
Major Credit Markets

- US investment grade bonds were strong based on good employment data, a less volatile equity market and news of war progress. However these markets need close monitoring. SOFR markets will flag any deterioration of credit pressures in the US. A rise in repo rates in the US will be an early signal of credit stress.
- Senior spreads softened modestly on the week as supply was digested. Major bank FRN curves were broadly unchanged day-on-day, with the 2.5–3y belly the relative outperformer (~2bp tighter on the week) as Asian balance sheet demand rotated in from the long end. The 5y point appears to be anchored around +70bp. There was a lot of primary Kanga issuance last week. HSBC accessed the Australian dollar market for a multi-tranche Kanga deal (6NC5 senior plus 11NC10 T2). BPCE followed with a dual-tranche 5y FRN senior preferred plus 15NC10 T2 social — and continues to use AUD as a core diversification currency. MetLife priced A\$550m of FA-backed 10y Kanga senior, and Ventia Finco brought a A\$300m 7y corporate senior.

Margin move %



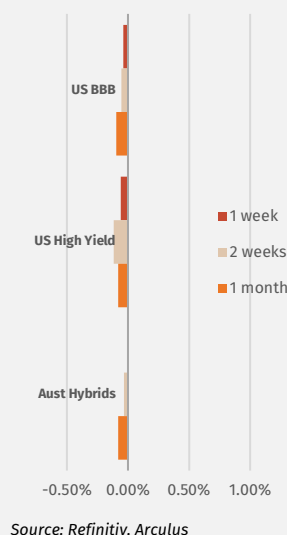
Investment grade credit margin



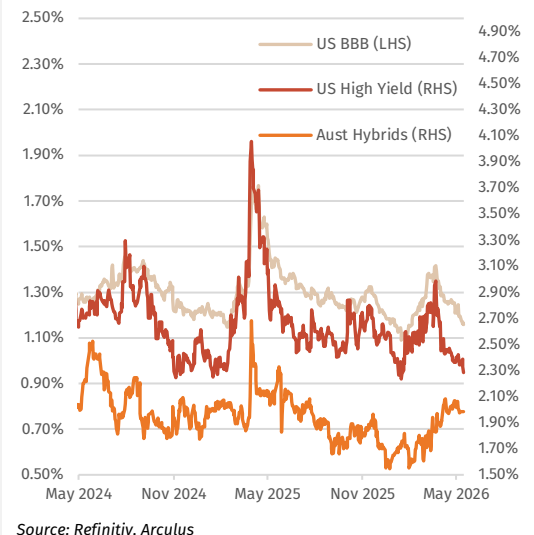
High Yield Markets

- US high yield (HY) markets remain well supported, with the S&P HY Corporate Bond Index currently trading with credit margins near five-year lows. This is particularly notable given the range of inflationary and geopolitical risks currently facing markets. However, underlying US economic conditions remain relatively robust, with resilient corporate earnings, average default rates, and generally healthy corporate balance sheets. The HY market has also benefited from the higher absolute level of interest rates, which has lifted overall yields to maturity (YTM) and improved the apparent attractiveness of the asset class from a total yield perspective.
- The hybrid market continued to improve with the average major bank hybrid margin contracting by 0.09% to 1.89%, a 2 month low. Volumes were slightly above average dominated by NAB with strong turnover in the Dec 2027 NABPH and especially in the longest dated hybrid NABPK.

Margin move %



High yield credit margin



Listed Yield market

Recent credit market LITs announce off market buy backs

ASX-listed private credit vehicles REV and KIT have both recently announced buy-back initiatives as part of broader capital management strategies aimed at supporting investors and addressing trading discounts to underlying asset values. The announcements reflect a growing trend among listed income and credit vehicles to include provisions that will provide periodic liquidity and enhance market pricing support. Importantly, both managers appear to have responded directly to market criticism surrounding ASX trading prices periodically sitting below NTA backing, despite the relatively stable nature of the underlying private credit portfolios. Each manager has a range of buy back options but have chosen the partial off-market method.

Revolution Private Credit Income Trust (ASX: REV) announced on May 20 an off-market equal access buy-back of up to 5% of units on issue. The buy-back price will be based on NAV per unit as at 2 July 2026, allowing participating unitholders the opportunity to exit closer to underlying asset value where the market price may be trading at a discount. REV noted that participating investors will also retain entitlement to distributions up until the cancellation date. The initiative is also viewed as a direct response to investor concerns regarding the secondary market discount to NTA and demonstrates management's willingness to actively support pricing integrity.

Kapstream Investment Trust (ASX: KIT) also announced a buy-back initiative following its recent ASX listing, with the strategy aimed at "supporting capital management and potentially improving market pricing dynamics for investors". The buy-back reflects management's confidence in the underlying portfolio and recognition of the importance of liquidity and discount management within listed fixed income and credit vehicles. In a similar fashion to REV, the move can also be interpreted as a response to market feedback regarding listed price weakness relative to NTA shortly after listing.

Both REV and KIT each initially traded relatively close to their respective Net Tangible Asset (NTA) levels, however since the concerns about US private credit, each have persistently traded at discounts. REV's most recent published NTA as at 19 May 2026 was \$2.0088 per unit. The NTA has not been reported below the \$2.00 issue price since listing in September 2025. REV's VWAP in May ex-div has been \$1.9725, about a \$0.03 discount (1.50%).

Similarly, KIT's most recent NTA as at 18 May 2026 was \$2.0049 per unit. Following its March 2026 listing, KIT's NTA did briefly dip below the \$2.00 issue price, however subsequently moved back above \$2.00 in May. KIT's VWAP in May ex-div has been \$1.9368, just over a \$0.06 discount (3.16%), hence worse than REV.

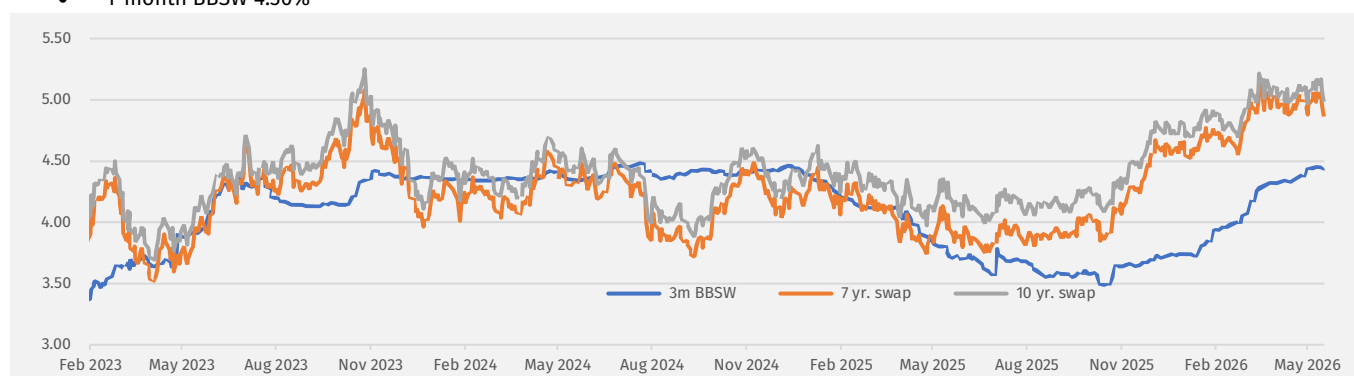
These recent buy-back initiatives from both managers further demonstrate a proactive approach toward capital management and supporting secondary market pricing around underlying asset backing. The discounts are not large but retail investors and their advisors get easily spooked, and if they see weakness, generally join the selling. Neither fund has reported any credit problems.

Source: Refinitiv, Arculus

Forward Interest Indicators

Australian rates

- Swap-rates jump with bond rates.
- Swap rates:
 - 10-year swap 4.98%
 - 7-year swap 4.87%
 - 5-year swap 4.79%
 - 1-month BBSW 4.30%



Week Ahead

Every major release this week falls inside the same analytical frame as the previous two weeks — measuring how much of the energy-driven inflation impulse is *broadening* beyond commodities into core, services, and wages, and how much each economy's real activity is being damaged in the process. The US Core PCE on Thursday is the single most important number globally. Australian monthly CPI on Wednesday determines the June RBA call. Tokyo CPI sets the BoJ's near-term path.

United States

Monday May 25 — Memorial Day. Markets closed. No data releases. Trading thin across all asset classes given the long weekend.

Tuesday May 26 — Conference Board Consumer Confidence (May), New Home Sales (April), Dallas Fed Manufacturing, S&P/Case-Shiller Home Prices (March). Conference Board confidence is the headline. Recent readings have run 92.8, 91.8, 91.2 — well below the 100+ range that

prevailed in late 2024. Watch for whether the consumer is following the Michigan survey's record-low sentiment lower, or whether the Conference Board's labour-market focus is keeping it more stable.

Wednesday May 27 — Richmond Fed Manufacturing, MBA Mortgage Applications, 5-Year Note Auction (\$70bn). Quiet domestic data day. The 5-year auction is the key technical event — with the 10-year yield now decisively above 4.60%, demand metrics (bid-to-cover, indirect bidder share, tail) will be scrutinised for evidence of foreign demand weakness.

Thursday May 28 — the week's main event.

- **Q1 GDP 2nd Estimate (8:30am).** The preliminary estimate stood at +2.0%. The revision will incorporate updated trade and inventory data and refine the consumer spending breakdown.
- **Core PCE Price Index (April) (8:30am).** The Fed's preferred inflation gauge. Recent readings have been +3.2% in March, +3.0% in February, +3.1% in January 2026, +3.0% in December 2025. After last week's hot CPI (+3.8% headline, +2.8% core) and hot PPI (+6.0% headline, services +1.2%), the April core PCE will be the key test of whether the inflation regime has actually shifted. Consensus is roughly +3.3% from +3.2%. A print at or above +3.4% would lock in the "no cuts in 2026" narrative; a print below +3.1% would partially neutralise the CPI/PPI shock.
- **Personal Income & Spending (April), Advance Durable Goods Orders, Initial Jobless Claims, Pending Home Sales.** Real personal spending alongside the deflator is the key consumption read — with real wages now negative, watch whether spending has held up via savings drawdown or has begun to soften.
- **7-Year Note Auction (\$44bn).** Second auction of the week into a bearish bond market.

Friday May 29 — Chicago PMI (May), University of Michigan Sentiment (Final, May). The final Michigan reading will confirm or revise the weak preliminary print (current conditions 47.8, headline historically low).

Europe

Monday May 26 — Whit Monday. Markets closed across most Catholic European countries (Germany, France, Belgium, Netherlands, Austria, Switzerland). Light trading even in markets that remain open.

Tuesday May 27 — Eurozone Consumer Confidence (May Final), French Consumer Confidence, ECB Financial Stability Review. ECB's Financial Stability Review is twice-yearly and often contains the bloc's most candid assessment of bank, sovereign, and shadow-bank risk. Given energy-driven inflation pressure and tightening financial conditions, the May edition will be parsed for any flag on credit market vulnerabilities.

Wednesday May 28 — Eurozone M3 Money Supply (April), Loans to Households, ECB Lagarde speech. M3 has been the canary on credit conditions through this cycle; loans to households is the cleanest channel for monetary policy transmission.

Thursday May 29 — ECB Negotiated Wages (Q1), Eurozone Confidence Indicators (May), German Unemployment (May). Negotiated wages is the ECB's preferred wage measure. Q4 was 4.1% — sticky. Q1 is the first reading from the new bargaining round and will indicate whether the energy shock is feeding into wage demands. The Q1 monthly readings have moderated to +1.8–2.0% range, but there is concern energy-driven cost-of-living pressure is rebuilding wage demands.

Friday May 30 — German Final HICP (May), French CPI Flash (May), Italian CPI Flash (May), Spanish CPI Flash (May), Eurozone Unemployment (April). The German final and the French/Italian/Spanish flashes together provide essentially the full May inflation read for the Eurozone ahead of the bloc-wide flash on June 2. German HICP has run +2.9% in April, +2.8% in March, +2.0% in February, +2.1% in January 2026 — the question is whether April's pickup is sustained.

Australia

Monday May 25 — RBA Speech (Marion Kohler, Assistant Governor Financial Markets). Kohler typically focuses on FX and market function rather than rates policy, but speeches in the post-hike period are scrutinised for any hint on the path forward.

Tuesday May 26 — RBA Speech (Bullock, Governor), Westpac-MI Leading Index. Bullock's first major speech since the May 6 hike to 4.35% and the hawkish Statement on Monetary Policy. The market is currently pricing further tightening; Bullock's framing will matter.

Wednesday May 27 — Monthly CPI Indicator (April). The week's domestic centrepiece. Recent readings have been +4.6% in March, +3.7% in February, +3.8% in January 2026, +3.8% in December 2025, +3.4% in November. The March 4.6% print drove the May hike. The trimmed mean has been +3.3% in March, February, and January 2026, +3.3% in December 2025, sitting persistently above the RBA's 2–3% target. The April monthly read will be the key data point for the June RBA meeting. A print above 4.6% would near-lock another hike; a print below 4.0% would buy time for a pause.

Thursday May 28 — Capex (Private New Capital Expenditure, Q1), Building Approvals (April). Q1 capex feeds directly into the Q1 GDP estimate due early June. Building approvals are the cleanest read on housing supply pipeline.

Friday May 29 — Private Sector Credit (April), RBA Bullock Q&A at finance conference. Credit growth has been moderate; watch for any signs of stress in business credit given the higher rate environment.

Japan

Monday May 25 — quiet.

Tuesday May 26 — Services PPI (April). Services PPI has been a key read on Japanese underlying inflation pressure given the BoJ's focus on services price dynamics.

Wednesday May 27 — BoJ Governor Ueda speech. Markets typically react strongly when the BoJ governor addresses monetary policy, especially if he makes unexpected remarks, leading to increased volatility in yen trading. With USD/JPY around 157–159 and the BoJ holding at 0.50%, Ueda's framing on the timing of the next hike and on FX intervention is highly market-sensitive.

Thursday May 28 — Consumer Confidence (May), Leading Index (March Final), BoJ Summary of Opinions, Tokyo CPI Tokyo CPI is the headline. Recent values: +1.5% headline in March, +1.4% in February, +1.6% in January 2026, +1.5% in December 2025, +2.0% in November. Tokyo core CPI excluding food and energy has run +1.9% in March, +1.7% in February, +1.8% in January 2026. With the energy shock from Iran feeding through to Japan's import bill, Tokyo CPI is the cleanest forward-looking read on whether the BoJ's 2% target is being sustainably reached.

Friday May 29 — Industrial Production (April Prelim), Retail Sales (April), Unemployment Rate (April), Housing Starts (April). End-of-month Japan data dump. Industrial production has been weak amid the geopolitical-driven trade weakness; retail sales is the consumption read.

Summary: Australian Budget 2026 Tax Changes and Their Impact

Key Tax Changes Announced

Capital Gains Tax (CGT)

- Minimum 30% tax rate imposed on capital gains (up from 24% for higher-rate taxpayers)
- 50% CGT discount replaced with inflation-indexation model from July 1, 2027
- Expected to raise over \$80 billion over the next decade

Negative Gearing

- Scrapped for new investors on existing homes (can no longer offset property losses against other income)
- Carve-out provided for new builds to encourage housing supply

Family Trusts

- New 30% minimum tax rate on discretionary trust distributions from July 1, 2028
- "Bucket companies" blocked from claiming trust tax credits (creating double taxation)
- Expected to generate \$4.47 billion in first year

Economic Impact

Housing Market

- House prices predicted to fall 5-10% (one of largest corrections in 40 years)
- Investor lending expected to collapse
- Credit growth could halve from 7.5% to around 3-4%
- Auction clearance rates already falling (below 50% in Sydney)

Banking Sector

- Major banks saw immediate share price drops (CBA fell 10% in one day, losing \$30 billion in value)
- Investor loans represent ~40% of home lending
- Analysts warn of significantly weakened operating conditions
- Concentration risk: residential mortgages make up two-thirds of all bank loans in Australia

Small Business & Startups

- Start-up community warns changes remove incentive for high-risk entrepreneurial ventures
- Employee stock options less attractive due to higher CGT
- Small business owners facing increased tax burden and administrative costs
- Concerns about discouraging future business formation

Political Arguments

Government Position (Chalmers/Albanese)

- Framed as "intergenerational equity" and tax fairness
- "People who work for a living should not get taxed more than those living on their assets"
- Only affects ~10% of small businesses (disputed by industry groups)
- Funded new \$250 Working Australians Tax Offset

Criticism

- **Double taxation concern:** Capital gains already subject to other taxes (corporation tax on underlying profits)
- **Revenue uncertainty:** HMRC analysis suggests a 10-point CGT increase could cost £2.1-3.6 billion (UK example)

- **Behavioural effects:** Investors will hold assets longer or exit market entirely
- **Competitiveness:** Australia already has among world's highest top personal tax rate (47%) and corporate rate (30%)
- **Aspirational penalty:** Punishes savings, investment, and risk-taking essential for economic growth

Broader Concerns

1. **Economic model questioned:** Critics argue this represents "redistributing prosperity, not growing it"
2. **Immigrant entrepreneurship impact:** Many small businesses are family operations built by migrants using trust structures
3. **Cultural shift:** Viewed as signalling suspicion of ambition and wealth creation rather than celebrating it
4. **International comparison:** New Zealand reversed similar policies after 16% house price fall
5. **Timing:** Comes amid rising interest rates (RBA hiked 3 times), geopolitical uncertainty (Iran-Israel conflict), and slowing economy

The consensus among critics is that while presented as "fairness," these changes will likely reduce investment, slow economic growth, discourage entrepreneurship, and may not even raise the projected revenue due to behavioural responses.

Our view

The ALP and pretty much all socialist governments anywhere in the world (sorry if this upsets anyone, but the ALP is proudly a socialist political party. Unlike the Greens and Teals, it is not pretending to be something it is not) have for some time had a strong belief that capital and labour should be taxed at the same rates. No one should be surprised that Chalmers used this budget to introduce more of the socialist 'wish list' given it would take an enormous swing for them to lose government at the next Federal election in 2 years time.

Taxing Capital gains like Wages – the theory

The idea sounds simple—tax capital gains like wages—but in practice it only “works” if your goal is optics or short-term political appeal. As a durable tax reform, it runs into three main problems:

- how capital is already taxed;
- how people respond to the tax; and
- how messy capital income actually is.

1) “Fairness” is not straightforward

At first glance, equal rates look fair, but capital gains often sit on top of other taxes:

- Company profits are taxed via corporation tax before they show up in share prices.
- Dividends (which drive valuations) are taxed again when paid.
- Expected future profits are capitalized into asset prices, so CGT partly taxes already-taxed income.

If you simply layer a 30% CGT rate on top, the combined effective tax on the same underlying income can become very high. That is why most systems deliberately tax capital gains at lower rates—to approximate neutrality after accounting for these layers.

A simple illustration:

- A firm earns \$100 profit, pays 30% corporation tax → \$70 remains.
- That value boosts the share price; an investor realizes a gain.
- Tax that gain at 30%, and the combined tax burden on the original \$100 can exceed 51%.

That is not obviously “equal treatment” relative to labour income.

2) Behavioural effects are large

Capital gains are unusually sensitive to tax rates because taxpayers control when gains are realized.

Key responses include:

- **Lock-in effect:** Investors delay selling to avoid tax, reducing transactions and liquidity.
- **Forestalling:** People rush to sell before a tax hike, temporarily boosting revenues, followed by a slump.
- **Recharacterisation:** More effort to turn income into untaxed or deferred forms.

Because of this, CGT increases often raise less than static models predict, and sometimes reduce revenue.

3) Capital income is lumpy and inflation-sensitive

Unlike salaries, gains:

- Accrue over many years but are taxed in one year.
- Include inflation, unless adjusted.

Equalising rates without:

- **Indexation** (to remove inflation), and
- **Averaging** (to smooth across years),

would mean taxing some purely nominal gains at high marginal rates, which is hard to justify as “fair.”

4) Investment and risk-taking

Capital income is riskier than wages. A higher, symmetric tax rate:

- Reduces the after-tax return on successful investments,
- But does not fully offset losses (since tax systems rarely refund losses at the same rate).

That asymmetry discourages risk-taking—especially for startups and early-stage investment. Even proponents of equalisation often carve out lower rates for entrepreneurs, which reintroduces complexity.

Now the ALP are going to be indexing the gains for inflation but not the losses. On a basket of stocks this may mean that an investor that realises losses and gains in anyone period will pay an effective capital gains tax much higher than 30%. Moreover, it will distort the efficient allocation of capital away from risk takers and towards capital stable income investments – like bonds. So here for Arculus we may have a sliver of a silver lining? This is only pointed out because in the weeks ahead we will see a lot of biased analysis regurgitated in the media as ‘fact’ from ETF providers and other benchmark funds that will be beneficiaries.

5) Complexity doesn't disappear

Equalisation sounds like simplification, but in reality you still need:

- Reliefs for inflation,
- Special rules for entrepreneurs,
- Anti-avoidance rules to distinguish labour vs capital income.

So the system may end up just as complex, but with higher headline rates.

When could it “work”?

It becomes more coherent if part of a broader reform, for example:

- Lower income tax rates combined with higher CGT (meeting in the middle),
- Integration with corporation tax (to avoid double taxation),
- Proper indexation and loss treatment. Under the ALP plan capital losses will not be inflation adjusted only the gains.

Absent that, it is not a clean efficiency or fairness win.

Bottom line

Equalising CGT with income tax is appealing in principle but misleading in practice. Without broader reform, it risks:

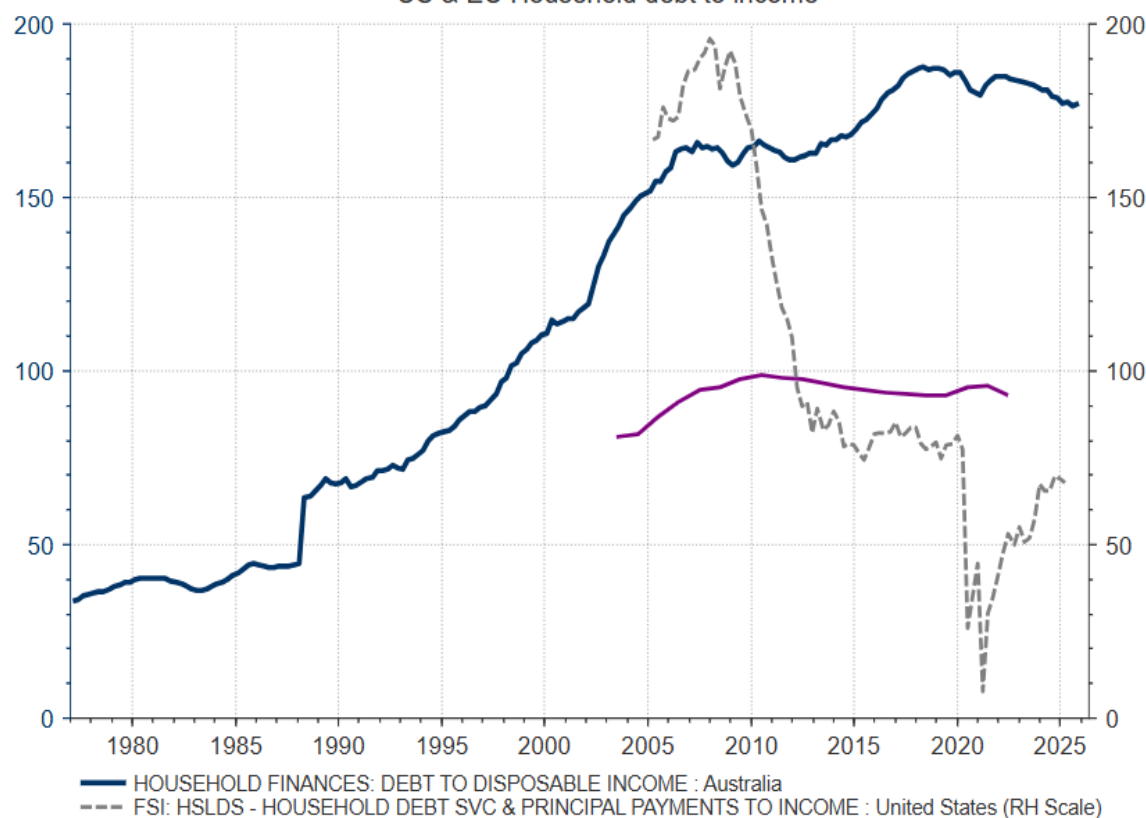
- Over-taxing the same underlying income,
- Reducing investment and realizations,
- Raising less revenue than expected.

So it can “work” politically, but economically it is much less clear—and may even be counterproductive depending on the details. What we fear is that the timing of this tinkering with housing investment with the RBA having just increased rates three times, and likely to go again in August, is that there will be a bigger impact on house price and the banking sector than the insulated Canberra elite bureaucrats can fathom. We had

concluded that when the RBA and the Federal government reacted to the pandemic lockdowns with excessive fiscal policy and extraordinary monetary stimulus, that they were well aware that Australia with its extreme household debt to income ratio cannot afford even a mild economic contraction that leads to a modest decline in house prices. It has been a long long time since Australia has suffered an economic contraction over more than two quarters, but if one occurred it is highly likely to cascade into a prolonged period of economic stagnation that will look just like a Depression (arguably the State of Victoria is already in one with wages and house price growth not exceeding inflation over the past 5 years).

Australian Household Debt to Income

US & EU Household debt to income



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